



ARSI UNIVERSITY

**COLLEGE OF BUSINESS AND
ECONOMICS**

DEPARTMENT OF MANAGEMENT

Introduction to management

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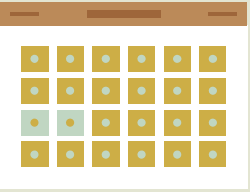


COURSE OUTLINE

Chapter 1	FUNDAMENTALS OF MANAGEMENT
Chapter 2	EVOLUTION OF MANAGEMENT
Chapter 3	THE PLANNING FUNCTION
Chapter 4	DECISION MAKING
Chapter 5	THE ORGANIZING FUNCTION
Chapter 6	STAFFING FUNCTION
Chapter 7	DIRECTING FUNCTION
Chapter 8	THE CONTROLLING FUNCTION

Chapter 1

management overview



Definition

- No single and universal definition for the term management
- Management is the art of knowing what you want to do and doing it in the best and cheapest way. – **F.W.Taylor**
- Management is the art of getting things done through and with the people in formally organized groups – **Koontz H.**
- Management is a process of planning, organizing, commanding, controlling and coordinate resources, and achieve organizational goals/desired objectives -- **H. Fayol**

For the sake of simplicity and convenience, we can broadly define the term in the following way:

Management is the process of planning, organizing, staffing, directing and controlling to accomplish organizational objectives through the coordinated use of human and material resources.

Key points



Organization

A group of people working together in a structured and coordinated fashion to achieve a set of goals



Goal

A desired future condition that the organization seeks to achieve

Manager

someone whose primary responsibility is to carry out the management process



Characteristics of management

It is goal oriented

Management exists to achieve specific objectives.

It is a group activity

It involves working with and through people.

It is a dynamic function

It adapts to changing internal and external environments

It is a social process

It is about interacting with and leading people.

It is intangible

You cannot touch management itself, only see its results.

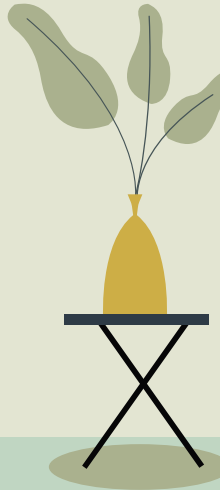
It is a system of authority

It requires a hierarchy where managers can give instructions.

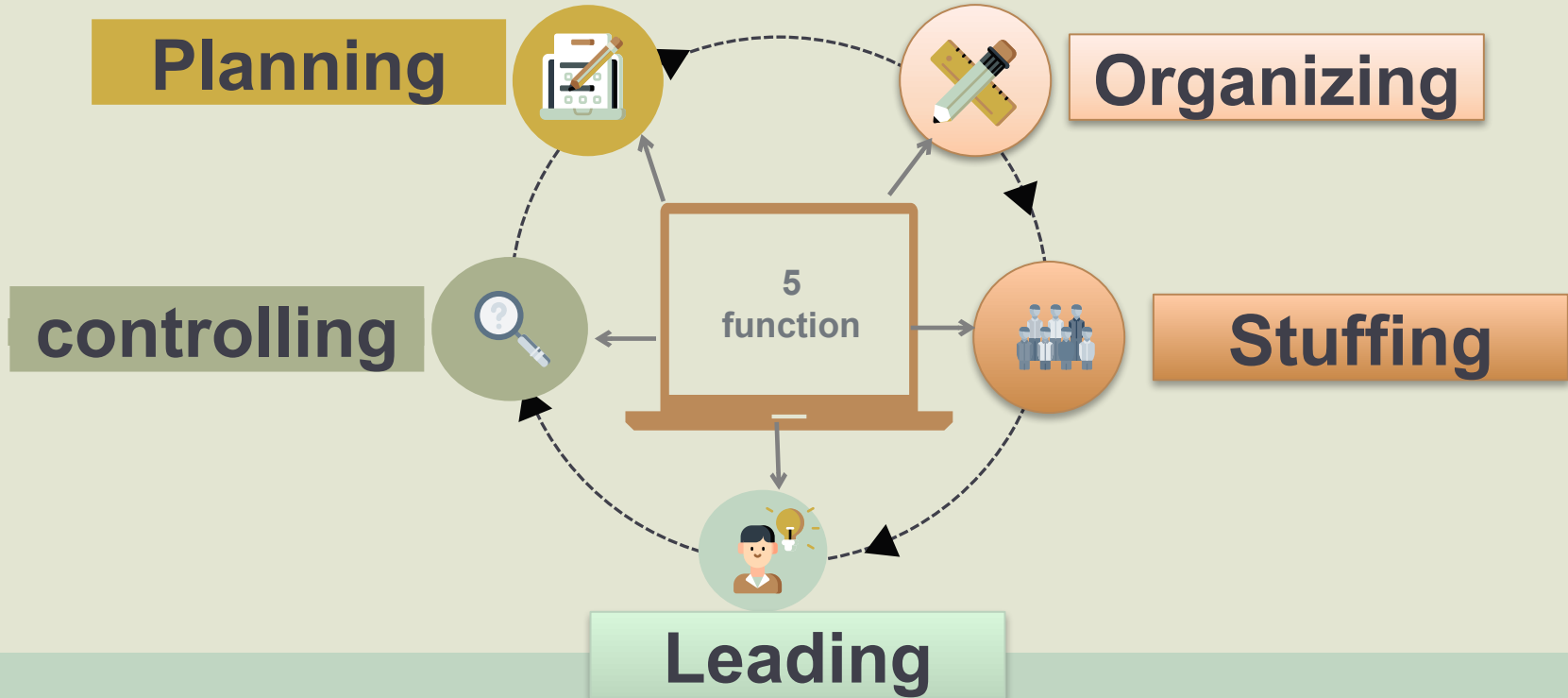


Significance of management

- It help to **identify companies goals** or objectives.
- It facilitate **accomplishment of goals** by planning resources and by directing and controlling activities.
- It establish **sound organizational structure** by clearly defining authority and responsibility.
- To formulate and implement **organizational policies**.
- Coordination of **factors of production**.

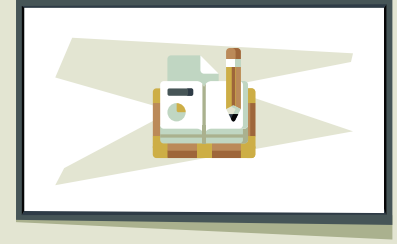


Overview of Management functions





1. Planning



- The first function of all managers
- it lays the ground work for other managerial functions
- It is concerned with determining the **objectives** of an organization and the means of achieving them.
- Planning requires ability to **foresee**, **visualize**, and to **look ahead** purposefully.
- It is a function that determine in advance
 - . **What** should be done.
 - . **How** it should be done.
 - . **When** it is to be done.

Plans can be classified as

- Long range
- Intermediate range
- Short range

2. Organizing



- The organizing function follows directly from the planning function, as the organization structure is built to execute the plans.
- It is the function in which the managers develop the **organization structure** —(often shown in an organization chart) that allows people to work together and achieve organizational goals.
- **Organizing** is concerned with the arrangement of an organization's resources – people, materials, technology and finance in order to achieve enterprise objectives
- It **involves decisions** about *the division of work, grouping similar activities* in one **department**, and the *coordination of tasks*.
- A critical part of organizing is defining **authority** and **responsibility** by creating **job positions** with specific **duties** and **delegating** authority to make workers accountable for their results.

3. Stuffing



- It deals with **filling the position** in the organizational structure.
- Staffing is concerned with human resource of the organization.
- It is concerned with locating prospective employees to fill the jobs created by the organizing process
- Staffing involves everything that happens to an employee from before they are hired until after they leave

- **Getting People IN (Recruitment & Placement)**

- Recruit & Select
- Train & Develop
- Compensation

- **Moving People THROUGH (Career Movement)**

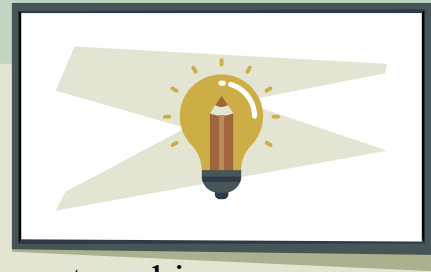
- Promotion
- Transfer
- Job Rotation

- **Managing People OUT (Separation)**

- Termination
- Retirement



4. Leading



- It is the process of **influencing, motivating, and directing** of employees to achieve organizational goals.
- Involves influencing and motivating employees in one or another ways to make them implement their job assignments willingly.
- In leading, managers determine direction, state a clear vision for employees to follow, and help employees understand the role they play in attaining goals.
- Managers need to understand
 - . Individual and group behavior
 - . Techniques of communication
 - . Techniques of motivation
 - . Effective style of leadership
- The outcome of the leading function is high level of motivation and commitment by the employees.

Key points

Influencing

- *Guiding behavior through inspiration, communication, and building trust.*
- It's about **showing the way** and getting the team to want to follow.

Motivating

- *Creating the willingness and energy in employees to do their best.*
- *It's the fuel that keeps the team moving forward, even when the path gets tough.*

Directing

- Providing specific instructions, guidance, and feedback on tasks.
- It's about giving a clear map so everyone knows their immediate next steps.



5. Controlling



- Controlling is the process of ensuring that activities are going according to plan and goals are being met.
- It is the process of comparing actual performance with the stated standard.
- In controlling, managers evaluate how well the organization is achieving its goals and takes **corrective action** if the performance is lower than the plan to improve performance.
- It helps in keeping the organizational activities on the right path.

Controlling managerial functions involves:

- (i) setting standard of performance,
 - (ii) measuring actual performance,
 - (iii) comparing actual performance against the standard, and
 - iv) taking corrective actions to ensure goal accomplishment.
- ❖ Purpose: To keep the organization on the right path and ensure goals are accomplished.

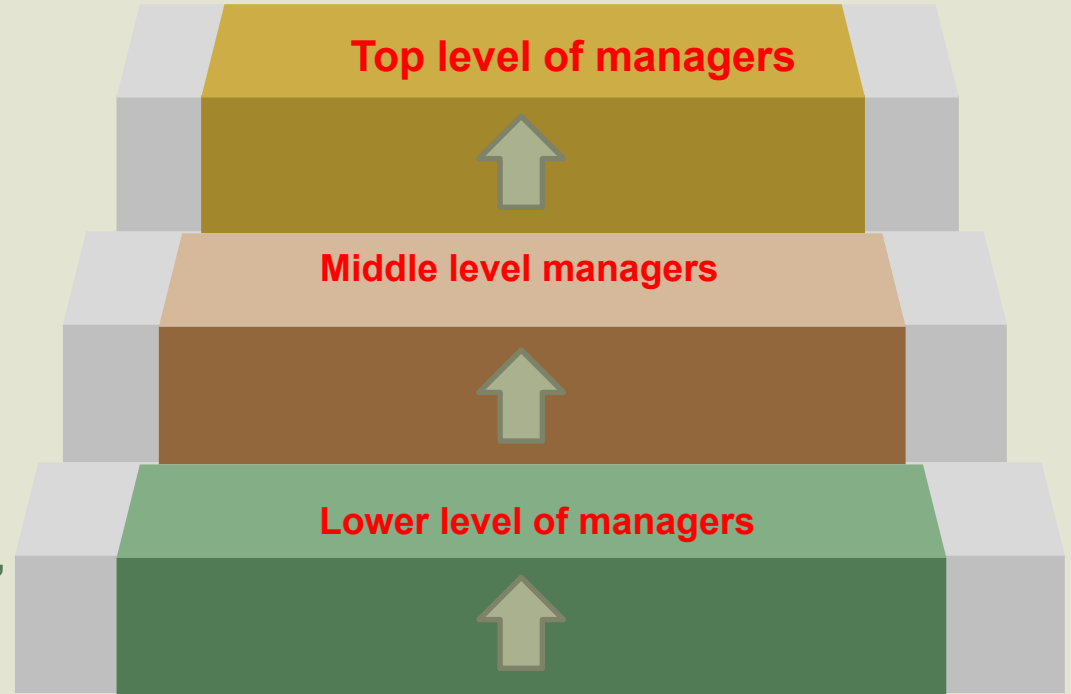
Level of management

- ❖ One of the best ways to study the activities of management is classifying them in to different levels
- The concept of "levels of management" refers to the hierarchical arrangement of managerial positions in an organization.
- This structure establishes a clear line of **authority** and **demarkation** between different managerial roles.
- Organizations' level of management varies with the size of the organization
- While the number of levels can vary with the organization's size, they are most commonly grouped into three:

Level of management

Their titles include/ example

- ❖ Board of Directors, President, and General Manager.
- ❖ Department Managers, Division Managers, and Operation Manager
- ❖ Section Chief, Office Manager, Foreman, and Supervisor.



Top level manager



- ❖ Top-level managers are at the apex of the organizational hierarchy and bear ultimate responsibility for the entire organization. They are few in number due to the strategic nature of their work

Their primary roles and responsibilities include:

- **Strategic Direction:** Establishing the organization's overall vision, mission, long-term objectives, and major policies.
- **Organizational Design:** Designing the organization's basic financial and operational structure.
- **Decision-Making:** Making major, company-wide decisions that shape the organization's future.
- **External Representation:** Serving as the public face of the organization, maintaining key relationships with external bodies (government, community, major partners).
- **Lays down standards of performance**

Middle level manager

- ❖ Middle-level managers occupy the level between top management and first-line management. They act as a critical communication bridge, interpreting top-level strategy for lower levels and reporting operational feedback upwards.
- ❖ They are specialists (their activity limited to a particular area of operation) and Are responsible for the proper implementation of policies and strategies defined by top level managers.

Their primary roles and responsibilities include:

- **Interpreting Strategy:** Translating broad strategies and policies from top management into specific objectives and actionable plans for first-line managers. and Issues detailed instructions
- **Developing Tactical Plans:** Creating medium-range plans and participating in operational decisions for their specific department (e.g., Marketing, Finance)
- **Supervision and Training:** Supervising and training first-line managers to ensure effective implementation of plans.
- **Departmental Specialization:** Serving as specialists focused on a particular area of operation, ensuring departmental goals align with the organization's overall strategy.

Lower level manager

- ❖ Lower level managers (**first line managers /operational managers**) are managers whose subordinates are non management workers or operating employees.
- ❖ They are responsible for **day-to-day** operation. Spent much of their time in leading and little in planning

Key Responsibilities:

- **Daily Supervision:** Directly oversee the work of operating employees, assign tasks, and maintain discipline.
- **Operational Execution:** Implement daily/weekly plans to achieve the goals set by upper management.
- **Resource Management:** Arrange the necessary materials, tools, and equipment for the team and assigns jobs to works.
- **Team Motivation & Support:** Motivate workers, provide instructions, and evaluate their performance.
- **Reporting:** They report operational results and issues to middle management.

Cont.....

❖ Managers can also be classified based on the **scope of activities** they manage.

- Functional Managers
- General Managers

1. **Functional Managers**:- have specialized skills in single area of operation such as accounting, marketing, and production.

Supervise employees (managers + workers) with specialized skills in specific areas of operations such as finance, marketing, production, or sales etc

2. **General Managers**:- are responsible for overall operation.

- They coordinate two or more departments.
- They are responsible for the entire operations of the organization without being specific.

Managerial role

- All managers must play some role and must have some skills to be effective.
- Role is an organized set of behaviors that is associated with a particular office or position.
- **Henery** Mintzberg identified ten managerial roles by closely observing the day to day activities of a group of CEOs and divided them in to three.



managerial role

Interpersonal role

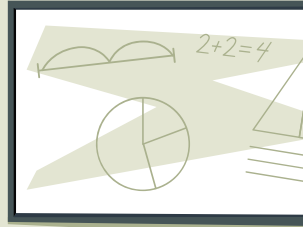
- ✓ **figurhead role**
- ✓ **Leadership role**
- ✓ **Liaison role**

Informational role

- ✓ **Monitor role**
- ✓ **Disseminator role**
- ✓ **Spokesperson role**

Decisional role

- ✓ **Enterprunal role**
- ✓ **Disturbance handler role**
- ✓ **Resource allocation role**
- ✓ **Negotiator role**



Interpersonal role

- Involves dealing with other people and it arise from managers formal authority.
- interpersonal roles require managers to direct and supervise employees and the organization. it involve developing and maintaining positive relationships with others in the organization

Note : These roles involve **interaction with people**. They are the "face" and "heart" of the management position. A manager cannot plan, organize, or control without first establishing these human connections.

- three managerial roles are enacted when the manager engages in interpersonal relationship.

They are:



Figurehead role



Leadership role



Liason role

Figurehead role

- This role requires the manager to act as a **symbolic leader**, performing official and ceremonial duties on behalf of the organization. These activities are crucial for building morale and representing the company's values.
- Managers act as **representatives of the organization**.

Activities include: Signing legal documents, welcoming important visitors, presenting awards, and attending public events.

Example: A university president handing out diplomas at a graduation ceremony

Example: A factory manager welcoming a delegation of foreign investors for a tour of the facility.

Leadership role

- This role is at the heart of the manager-subordinate relationship. As a leader, the manager's primary duty is to **influence**, **motivate**, and **direct** employees to accomplish organizational goals.

Key Leadership Activities Include:

- **Building a Team:** Hiring, training, and promoting the right people.
- **Inspiring Action:** Creating a compelling vision and motivating subordinates to achieve it.
- **Guiding Performance:** Coaching employees, coordinating their efforts, and providing direction.
- ❖ **In essence**, a manager becomes a leader by inspiring their team to willingly contribute their best efforts.

Liaison role

- In this role, the manager acts as a crucial communication link, building a network of contacts **inside and outside** the organization to secure information, resources, and support.
- **Key Activities:**
- **External Networking:** Building relationships with customers, suppliers, government officials, and other external stakeholders and to obtain information.
- **Internal Coordination:** Collaborating with managers, staff specialists and other departments to share resources and align activities.
- **Building Alliances:** Establishing connections that provide support critical to the department's and organization's success.
- **The main goal is to be a bridge, ensuring the work unit is well-connected and supported**

Informational role

- ❖ Informational roles are those in which managers obtain and transmit information to and from internal and external sources
 - It involves **receiving**, **processing** and **communicating** information.
 - ❖ three managerial roles are enacted when the manager engages in informational role. They are:



Monitor role



Disseminator role



Spokesperson role



Monitor role

- It is also called **information gathering role**.
- In this role, the manager acts as the **nerve center** of the organization, constantly scanning the internal and external environment—like a radar—to seek, receive, and filter valuable information.

Key Activities:

- **Actively seeking** information from reports, news, clients, meetings, and industry events.
- **Monitoring** changes and trends that could affect the organization.
- **Filtering** the information to determine what is important.

Goal: To stay informed and identify opportunities or threats for the organization.

Disseminator role

- ❖ The Disseminator Role focuses on internal communication. In this role, managers are responsible for sharing and explaining important information—such as new policies, rules, and strategic updates—to their subordinates and other members across the organization.

Spokesperson role

- It focuses on external communication. It is representing an organization to outside party on the behalf of members of the organization, or transmitting information about the work group to others especially outside the organization.
 - One aspect of their role is to keep superiors well informed and a second aspect is to communicate outside the organization like government agencies, customers and labor unions
 - Key influencers and stakeholders are kept informed of performances, plans & policies

Decision role

- This role is at the core of a manager's job. After using their interpersonal and informational roles, managers must make decisions and take action to solve problems and move the organization forward.



**Entrepreneurial
Role**



**Resource
Allocator**



**Disturbance handler
role**



Negotiator Role

Entrepreneurial role

- The manager acting as an entrepreneur recognizes problems and **opportunities** and **initiates** actions that will move the organization in the desired direction.
- Managers play this role when they *initiate new project; launch a survey; test new market; etc...*

Disturbance handler role

also called **solution seeking role**

- Managers play this role when they deal **with problems** .
 - The disturbance handler is responsible for taking corrective action when the organization faces important, unexpected difficulties
-  Managers play this role when they deal with problems like →
- Conflict between workers
 - Labor strikes
 - bankruptcy
 - Breaking contract

Resource allocator role

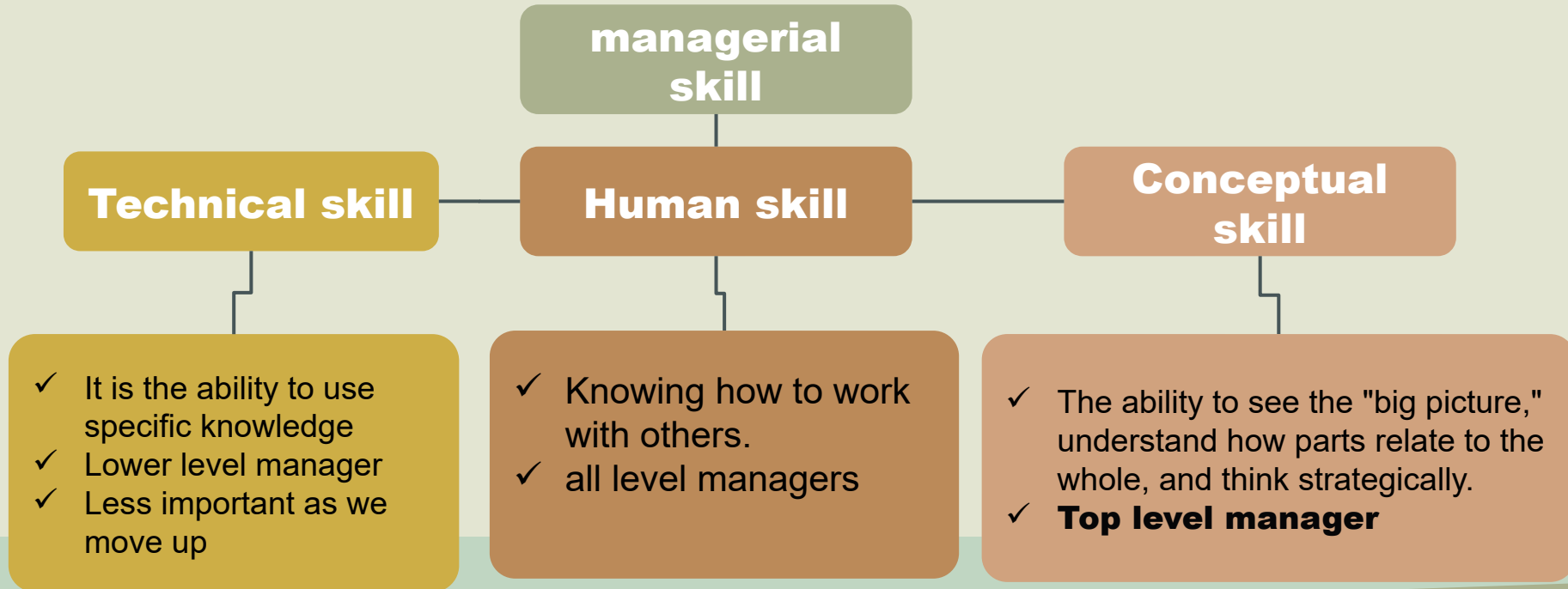
- This is the manager's role in **deciding who gets what** within the organization.
- The manager is responsible for distributing key resources—including **people, money, equipment, and time**—to different tasks and departments to ensure goals are met efficiently.
- This involves assigning work to subordinates, scheduling meetings, approving budgets, deciding on pay increases, and other matters related to the firm's human, financial, and material resources

Negotiator role

- In the Negotiator role, managers work with **external parties** like suppliers, distributors, and labor unions to reach agreements on prices, quality, and contracts.
- They also **forge alliances** with other organizations to **pool resources** and **launch joint** projects.

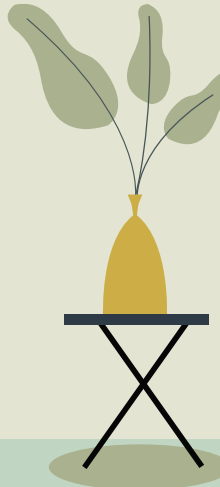
Managerial skill

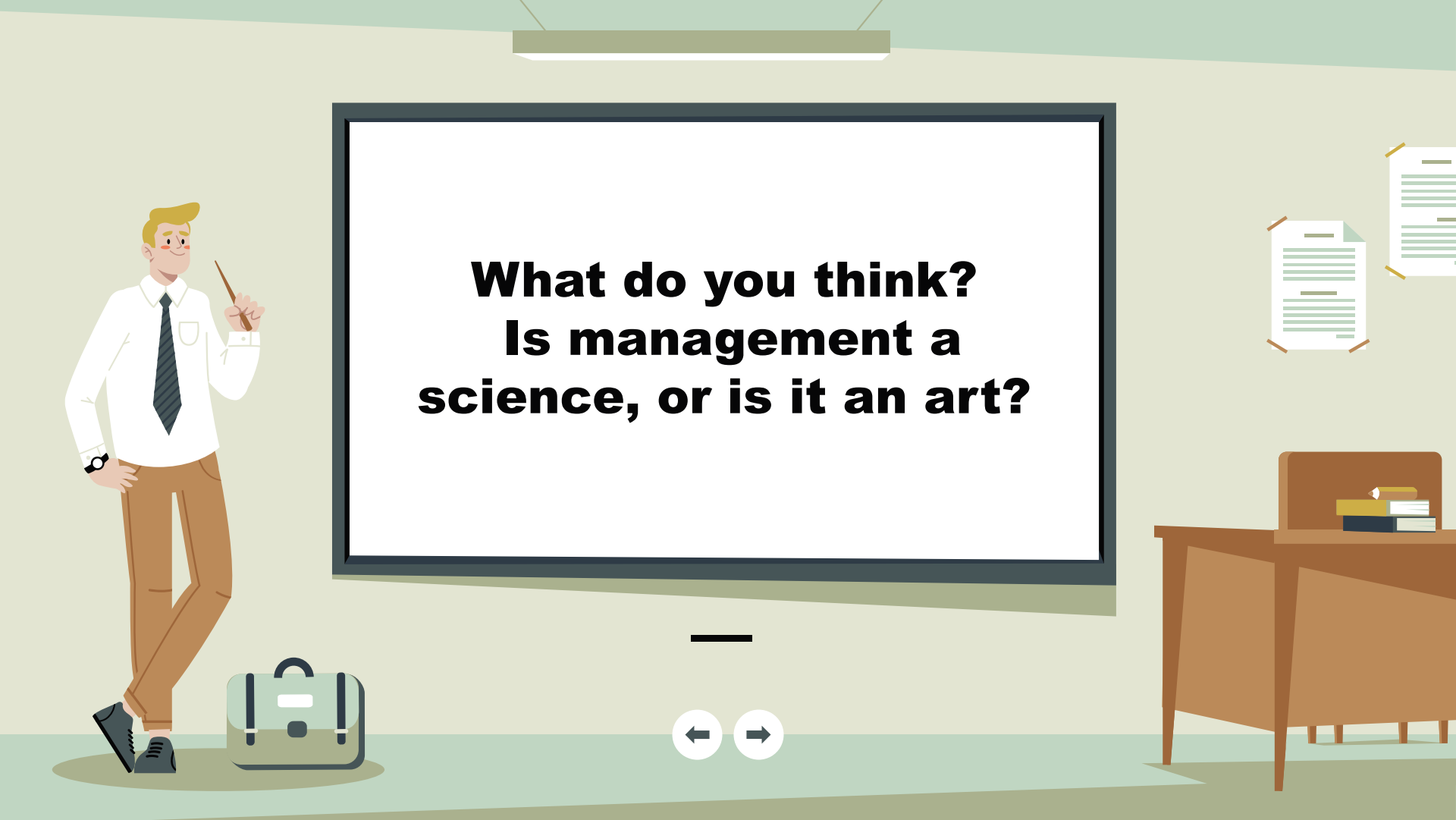
- A **skill** is the ability to perform a particular task effectively. Because a manager's job is complex and multifaceted, it requires a blend of different abilities, not just one.
 - Skills are specific abilities that result from knowledge, information, practice, and aptitude.



Universality of management

- This is the concept that the **fundamental principles of management are the same everywhere.**
- This means that regardless of the organization's **type** (business, hospital, government), its **size** (large or small), or its **location** (in Ethiopia or another country), managers perform the same core functions





**What do you think?
Is management a
science, or is it an art?**



Key points

Science

- *Science is a systematized knowledge derived from observation, study, and experimentation carried on in order to determine the natures and principles of the subject under study.*
- It relies on logic, data, and experimentation.

Art

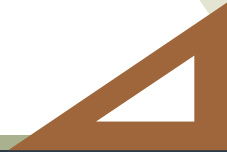
- *Is the personal application of knowledge and skill to achieve desired results.*
- *It relies on creativity, intuition, practice, and personal style.*

Profession

- is a type of job that requires specialized knowledge, formal education, and a commitment to ethical standards, rather than just on-the-job training.



**So, what is
management?**



Thank s!

Any question?

